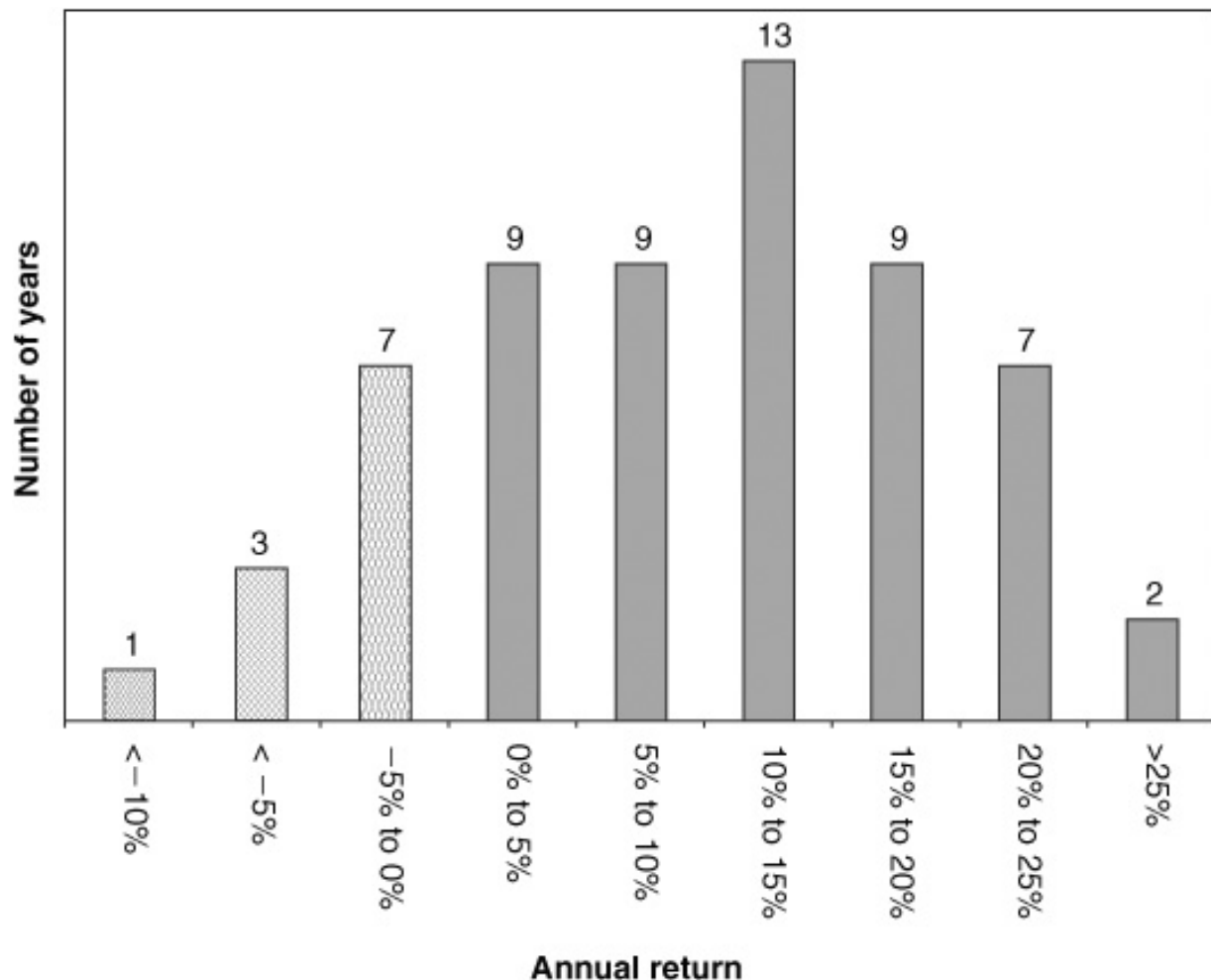


Annual Return Frequency Distribution 50% Intermediate-Term Treasury Notes and 50% S&P 500, 1950–2009



If there is one thing that is certain in the financial markets, it is that there will come a time again in the future when even the best investment plan loses money. If you implement an asset allocation strategy and fully understand the risks and limitations, then you are well on your way to achieving the hidden diversification benefits that Harry Markowitz wrote about more than half a century ago.

CHAPTER SUMMARY

Portfolio diversification is the practice of buying several different investments to reduce the probability of a large loss in a portfolio. Asset allocation involves estimating the expected risk and return of various categories of investments, observing how those asset classes interrelate with